

S&P Global Japan Services PMI[®]

Business activity growth hits five-month high, but sharp cost pressures drive near-record increase in output charges

August 2026

Solid rise in service sector output as sales growth picks up

Output charges increase at second-steepest rate on record amid further sharp rise in costs

Staffing levels expand at slowest rate in a year

Japanese service providers signalled stronger increases in both business activity and new work during August, according to latest PMI[®] survey data. However, input cost inflation remained substantial, leading firms to raise their output prices at the second-sharpest pace on record.

Employment growth across the service sector meanwhile eased for the second straight month and backlogs of work accumulated only slightly. Business confidence did pick up from July, but remained among the lowest seen in recent years.

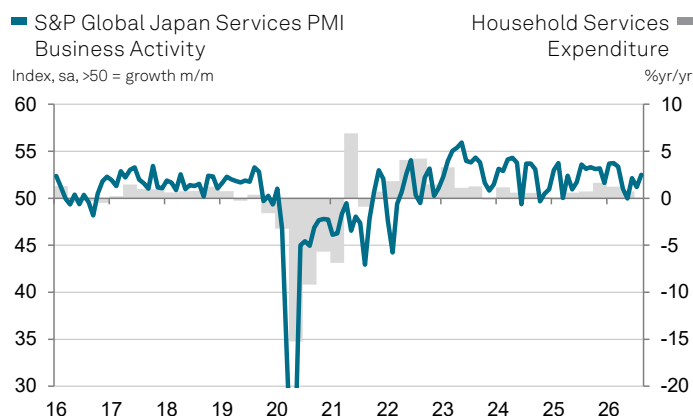
The S&P Global Japan Services PMI is compiled by S&P Global from survey responses from a panel of around 400 service sector companies. The sectors covered include consumer (excluding retail), transport, information, communication, finance, insurance, real estate and business services.

The headline figure is the Services Business Activity Index, which tracks changes in the volume of business activity compared with one month previously. A reading above 50.0 indicates an overall increase compared to the previous month, and below 50.0 an overall decrease.

The headline index rose from 51.2 in July to 52.5 in August, posting in expansion territory for the third month in a row. Notably, the rate of growth was the strongest recorded since March. Greater amounts of new work, public sector projects and a higher volume of client enquiries had supported the latest upturn in activity, according to panellists.

Total new order growth picked up from July's 25-month low in August, rising at a rate that was slightly stronger than the average seen in 2026 so far. Underlying data suggested that the upturn was largely driven by firmer domestic demand, as new export business continued to decline during August and at a sharp pace.

Hiring activity across the service sector meanwhile remained subdued. Moreover, the rate of job creation was the slowest seen in a year and only marginal. While some firms added to their payrolls to support higher levels of business activity, others noted that the non-replacement of voluntary leavers had dampened headcounts. Despite the softer upturn in staff numbers and stronger sales growth, outstanding business rose only slightly, with the rate of accumulation holding close to July's



Data were collected 6-25 August 2026.

Sources: S&P Global PMI, Cabinet Office Japan via S&P Global Market Intelligence.
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Comment

Annabel Fiddes, Economics Associate Director at S&P Global Market Intelligence:

"The latest PMI data suggests that growth momentum picked up across Japan's service sector in August, with business activity rising at the fastest pace since March and new order growth improving from July's recent low.

"However, staff recruitment remained muted, with employment rising at the slowest pace in a year, suggesting firms remain cautious despite higher workloads.

"Combined with the manufacturing PMI survey results, which highlighted another sharp rise in factory output and new orders, the data suggest Japan's private sector experienced the strongest increase in output for six months in August.

"Cost pressures remain a key area of concern for businesses, with input costs continuing to rise sharply across both monitored sectors despite rates of inflation easing from recent peaks. The war in the Middle East and associated supply-side disruption and price rises were partly linked to the upturn in expenses, along with a weak yen exchange rate. The sustained and sharp rise in costs led to the quickest rise in selling prices for goods and services since the composite data series began nearly two decades ago. This indicates that official inflation could rise further in the coming months and, alongside stronger growth, strengthens the case for another Bank of Japan interest rate hike."

17-month low.

Japanese services companies signalled a slightly slower but still substantial rise in costs during August, which was linked to a generally strong inflationary environment. The sustained and sharp rise in input prices led firms to raise their own output charges again in August. Moreover, the rate of selling price inflation was the second-quickest since the survey began in late-2007, behind only April 2014 which was driven by a national consumption tax hike.

Firms expressed slightly stronger optimism towards the one-year outlook for activity in August. Upbeat forecasts were linked to planned company expansions, new services, AI-related efficiency gains and expectations of greater customer numbers.

S&P Global Japan Composite PMI®

Selling prices across Japan increase at record pace in August

The S&P Global Japan Composite Output Index rose from 52.7 in July to 53.5 in August, signalling an expansion of business activity across Japan for the seventeenth month in a row. Notably, the rate of growth was the steepest recorded since before the outbreak of war in the Middle East in February. Although the expansion continued to be led by the manufacturing industry, which saw another sharp upturn in output, service sector growth improved in August.

Composite new business also rose at a solid and accelerated pace, with the upturn among the quickest seen over the past three years. Overall employment across Japan meanwhile continued to rise modestly amid a further rise in outstanding business. Prices data showed another sharp increase in costs faced by Japanese manufacturers and service providers, despite the rate of inflation slipping to the lowest since March. At the same time, selling prices at the composite level rose at the steepest rate since the series began in late-2007.

Methodology

The S&P Global Japan Services PMI® is compiled by S&P Global from responses to questionnaires sent to a panel of around 400 service sector companies. The sectors covered include consumer (excluding retail), transport, information, communication, finance, insurance, real estate and business services. The panel is stratified by detailed sector and company workforce size, based on contributions to GDP. Data collection began in September 2007.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. A diffusion index is calculated for each survey variable. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

The headline figure is the Services Business Activity Index. This is a diffusion index calculated from a question that asks for changes in the volume of business activity compared with one month previously. The Services Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline manufacturing PMI figure.

The Composite Output Index is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. The weights reflect the relative size of the manufacturing and service sectors according to official GDP data. The Composite Output Index may be referred to as the 'Composite PMI' but is not comparable with the headline manufacturing PMI figure.

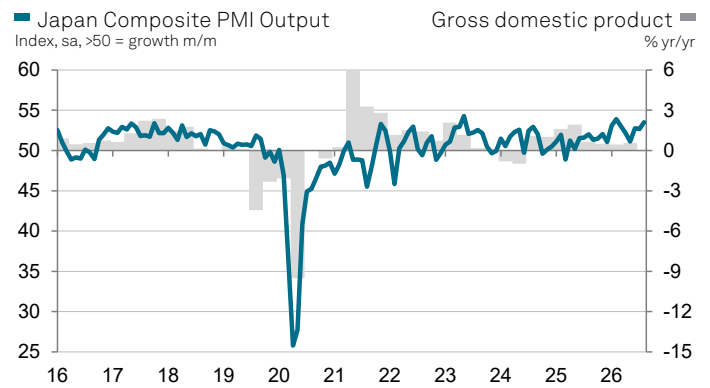
Underlying survey data are not revised after publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

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